



AUDITED FINANCIAL STATEMENTS

AND

SUPPLEMENTARY FINANCIAL INFORMATION

FOR THE YEAR ENDED 31 DECEMBER 2025

LAO PROFESSIONALS
CHARTERED ACCOUNTANTS

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CORPORATE INFORMATION

Board of Directors	Nationality	Designation
Adeolu Adeboye	Nigerian	Board Chairman
Niyi Ogunnowo	Nigerian	Vice Chairman
Jackson Ukuevo	Nigerian	Chief Executive officer
Yusuf Tafida	Nigerian	Executive Director
Habibah Waziri	Nigerian	Independent Executive Director
Okafor Akalaka	Nigerian	Independent Non-Executive Director
Leon Kelly	American	Independent Non-Executive Director
Josephine Ukuevo	Nigerian	Independent Non-Executive Director
Auxtyn Agbauduta	Nigerian	Alternate Director

RC NUMBER: 771515

NATURE OF BUSINESS: Construction

REGISTERED OFFICE: 179A, Moshood Olugbani Street,
Victoria Island,
Lagos State.

COMPANY SECRETARY: **Barrister Suleiman Hayatudeen**
23/24 Alkali Road, Kaduna State

INDEPENDENT AUDITORS: **LAO Professionals**
(Chartered Accountants)
SF 7, 8 & 9 Ita Elewa Shopping Complex,
Ikorodu, Lagos.

BANKERS: Access Bank Plc
Ecobank Nigeria
First City Monument Bank
Fidelity Bank Plc
Guaranty Trust Bank Limited
Keystone Bank Limited
Sterling Bank Ltd
Parallex Bank
Polaris Bank Limited
Providus Bank Limited
United Bank for Africa Plc
Union Bank of Nigeria Plc
Zenith Bank Plc

FINANCIAL HIGHLIGHTS

	2025 ₦'000	2024 ₦'000	Changes ₦'000	Increase/ (Decrease) %
Major Profit & Loss account Items:				
Turnover	3,031,595	6,721,132	(3,689,536)	(54.89)
Direct Expenses	(4,644,265)	(5,406,120)	761,855	(14.09)
Other Income	26,046	1,373	24,673	
Finance Income	-	-	-	
Administrative expenses	(2,081,605)	(2,990,338)	908,733	(30.39)
Profit/(Loss) before income tax	(5,969,123)	(2,304,566)	(3,664,558)	159.01
Taxation expenses	(15,158)	(33,613)	18,455	
Profit/(Loss) for the year	(5,984,281)	(2,338,179)	(3,646,103)	155.94
Major statement of financial position:				
Non-Current Assets	7,078,553	7,167,246	(88,693)	(1.24)
Current Assets	2,697,409	3,555,520	(858,111)	(24.13)
Total Assets	9,775,962	10,722,766	(946,804)	(8.83)
Non-Current Liabilities	-	-	-	
Current Liabilities	7,730,586	5,911,112	1,819,474	30.78
Total Liabilities	7,730,586	5,911,112	1,819,474	30.78
Total Equity	2,045,376	4,811,654	(2,766,278)	(57.49)
Total Equity:				
Share Capital	101,000	101,000	-	-
Deposit for Shares	4,449,363	4,449,363	-	-
Retained earnings	(2,504,987)	261,291	(2,766,278)	(1,058.70)
Total Shareholders Fund	2,045,376	4,811,654	(2,766,278)	(57.49)
Profitability Ratio:				
Net Profit Margin	(196.90)	(34.29)	(162.61)	474.24
Return on Capital Employed	(292.58)	(48.59)	(243.98)	502.08
Liquidity Ratio:				
Current ratio	0.35	0.60	(0.25)	(41.99)
Investors Ratio:				
Earnings per share - Kobo	(59.25)	(23.15)	(36.10)	155.94
Net assets per share - Kobo	20.25	47.64	(27.39)	(57.49)
Dividend per share - Kobo	-	-	-	

REPORT OF THE DIRECTORS

The Directors are pleased to present to the members of the Company, their audited financial statements for the year ended 31st December 2025.

1. PRINCIPAL ACTIVITIES

The principal activities of the company is that of Real Estate activities, Property Development and Construction.

2. RESULT FOR THE YEAR

₦'000

Profit before Taxation	(5,969,123)
Less: Taxation	<u>(15,158)</u>
Profit After Taxation	(5,984,281)
Profit brought forward	<u>261,291</u>
Retained Profit carried forward	<u><u>(2,504,987)</u></u>

3. DIVIDEND

The Directors did not recommend the payment of any dividend in order to conserve funds.

4. STATE OF AFFAIRS

In the opinion of the Directors, the state of the Company's affairs is satisfactory and there has been no material change since balance sheet date.

5. DIRECTORS' INTEREST

Directors' interest in the issued share capital of the company as of 31st December 2025 was as follows:

Substantial Shareholdings (5% and above)	NUMBER OF SHARES HELD			
	2025		2024	
Jackson Ukuevo	73,584,000	Shares	73,584,000	Shares
Josephine Ukuevo	15,958,600	Shares	15,958,600	Shares
Others Shareholders	11,457,400	Shares	11,457,400	Shares
	<u>101,000,000</u>		<u>101,000,000</u>	

REPORT OF THE DIRECTORS - (Cont'd)

6. SHAREHOLDING STRUCTURE

The shareholding position as of 31st December 2025 was as follows:

	NUMBER OF SHARES HELD	
	2025	2024
Nigerian citizens	89,542,600 89%	73,584,000 89%
Non - Nigerian citizens	11,457,400 11%	11,457,400 11%
	<u>101,000,000</u> <u>100%</u>	<u>101,000,000</u> <u>100%</u>

7. RESPONSIBILITIES OF DIRECTORS

In accordance with the provisions of Sections 334 and 335 of the Companies and Allied Matters Decree, 1990 the Company's Directors are responsible for the preparation of financial statements which give a true and fair view of the state of affairs of the Company as at the end of the financial period and of its profit and cash flow statement for the period and comply with the provision of the Decree. These responsibilities include ensuring that:

- i) adequate internal control procedures are instituted to safeguard assets and prevent and detect fraud and other irregularities.
- ii) proper accounting records are maintained.
- iii) applicable accounting standards are followed.
- iv) suitable accounting policies are used and consistently applied.
- v) the financial statements are prepared on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

8. DONATIONS AND GIFTS

There is no gifts and donation during the year under review.

9. DIRECTORS' INTERESTS IN CONTRACTS

None of the Directors has notified the Company for the purpose of Section 303 (1) of the Companies and Allied Matters Act 2020, of any disclosable interest in contracts involving the Company as at 31st December 2025 or at the date of this report.

10. CORPORATE GOVERNANCE

The Directors have striven to maintain the corporate governance ethics and rules and regulations of the regulatory authorities during the year under review.

REPORT OF THE DIRECTORS - (Cont'd)

11. CHARITABLE GIFTS

In compliance with Section 43(2) of the Companies and Allied Matter Act, 2020 the Company did not make any donations or gifts to any political party, political association or for any political purpose during the year under review.

The Company made no contribution, sponsorship and charitable gift in the year 2025.

12. ACQUISITION OF OWN SHARES

The Company did not acquire any of its own shares during the year under review.

13. EMPLOYMENT AND EMPLOYEES

It is the policy of the Company that there should be no discrimination in considering application for employment including those from disabled persons. All employees whether or not disabled are given equal opportunities to develop.

14. POST REPORTING DATE EVENTS

There were no post reporting date events which could have had material effect on the state of affairs of the Company as well as the loss for the year ended December 31, 2025, which have not been adequately provided for.

15. AUDITORS

Messrs. LAO Professionals (Chartered Accountants), having indicated their willingness to continue in office, shall do so, in accordance with section 401 (2) of the Companies and Allied Matter Act, 2020.

By Order of the Board of Directors of Ronchess Global Resources Plc.



Barr. Suleiman Hayatudeen

Company Secretary

NBA: SCN066063

23/24 Alkali Road, Kaduna State

Dated: 31st day of March 2026

STATEMENTS OF DIRECTORS' RESPONSIBILITIES

The Companies and Allied Matters Act requires the Directors to prepare financial statements for each financial year that give a true and fair view of the state of financial affairs of the Company at the end of the year and of its profit or loss.

This responsibility includes:

- a) ensuring that the company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the company and comply with the requirements of the Companies and Allied Matter Act.
- b) designing, implementation and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; and
- c) preparing the Company's financial statements using suitable accounting policies supported by reasonable and prudent judgements and estimates, that are consistently applied.

The Directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Companies and Allied Matters Act, 2020 and the Financial Reporting Council of Nigeria(amendment) Act 2023.

The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its profit or loss. The Directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the Directors to indicate that the company will not remain a going for at least twelve months from the date of this statement.

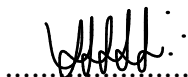


Adeolu Adeboye

Board Chairman

FRC/2025/PRO/DIR/003/660249

31st March 2026



Jackson Ukuevo

Chief Executive Officer

FRC/2024/PRO/DIR/003/503251

31st March 2026



Oluwakemi Akinloye

Chief Financial Officer

FRC/2019/ICAN/0000001993

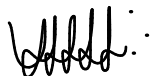
31st March 2026

CERTIFICATION OF THE AUDITED FINANCIAL STATEMENTS

Further to the provision of section 405 of the companies and Allied Matters Act, 2020, SEC and FRC Guidance on Management Report on Internal Control Over Financial Reporting, we the Managing Director and Chairman of The Ronchess Global Resources Plc (the Company) respectively hereby certify as follows:

- a) That we have reviewed the Audited Financial Statement (AFS) of the Company for the year ended 31st December 2025.
- b) That the AFS represents the true and correct financial position of our Company as at said date of 31st December 2025.
- c) That the AFS does not contain any untrue statement of material fact or omit to state a material fact, which would make the statements misleading.
- d) That the AFS fairly presents, in all material respects, the financial condition and results of operation of the company as of and for the year ended 31st December 2025.
- e) That we are responsible for establishing and maintaining internal controls and affirm that the company's internal controls were effective as of 31st December, 2025.
- f) That all significant deficiencies in the design or operation of internal controls which could adversely affect the Company's ability to record, process, summarise and report financial data, including mitigating controls have been disclosed to the independent Auditor.

Signed on behalf of the Directors by:



.....
Jackson Ukuevo

Chief Executive Officer
FRC/2024/PRO/DIR/003/503251
31st March 2026



.....
Oluwakemi Akinloye

Chief Financial Officer
FRC/2019/ICAN/0000001993
31st March 2026

SUSTAINABILITY REPORT

Overview

At The Ronchess Global Resources Plc, the central principles are Sustainable excellence, Over the years, we have shown perseverance and dedication to sustainable development. This report communicates our commitments to beneficial long-term societal, environmental, and economic goals. It discloses Ronchess Global Resources Plc accomplishments and objectives in a variety of areas, including staff management, capacity building, marketing, products development, ESG (Environment, Social and Governance) risk management, corporate citizenship, and the adoption of concepts from local and worldwide sustainability.

Our sustainability report serves as a realistic open, and efficient means of informing our stakeholders about the effects the company has had on important sustainability concerns. The report aids in improving risk management, staff retention, stakeholder confidence, productivity growth, and compliance.

Materiality Assessment

In our sustainability strategy we have conducted a materiality assessment to serve as a materiality framework for our sustainability initiatives.

The key stakeholders engaged were:

- Internal stakeholders-employees, executive management, the board, and key stakeholders.
- External stakeholders-regulators, key customers, NGO and Key members of the public.

Our material topics will be reviewed and updated annually.

In 2025, we identified the following material topics:

- Employees' Management-human rights and capacity building.
- Corporate governance practices and business ethics.
- Social Responsibility-Contributions to sustainable development of communities through employee volunteerism and CSR initiatives, public policy advocacy, and customer relations.

SUSTAINABILITY REPORT - (Cont'd)

Stakeholders Engagement

At The Ronchess Global Resources Plc, we strive to achieve long-term productivity in line with our shareholders' common vision.

We understand that the success of each activity is hinged on the engagement of all relevant stakeholders. The company therefore integrates Environmental, Social, and Governance consideration into its business practices and decision-making processes.

The company among other things, only engage in marketing and selling its products to our customers while ensuring the products are value-adding and accessible.

Creates sustainable value for its shareholders while ensuring a high level of corporate governance.

Remains an equal opportunity employer, engaging only in fair practices and promoting diversity while ensuring rewarding career opportunities, training, and attractive working conditions for employees.

Positively contribution to the economic development of the cities where it operates while also engaging in community development initiatives to

make society a better place for individuals and business organisations.

Stakeholder engagement is a way to keep constant communications with our shareholders. The primary shareholders constantly engaged are identified below:

SUSTAINABILITY REPORT - (Cont'd)

S/N	STAKEHOLDER	WHY WE ENGAGE	FREQUENCY	WHY WE ENGAGE
1	Shareholders/ Investors	To provide transparency in our disclosure to the investing community in order to strengthen bonds and increase trust and confidence.	Annually	We provide annual and Quarterly Reports
2	Customer	Individuals, small enterprises and small companies.	Continuous	Direct engagements through our contact office
3	Employees	To drive employee productivity and engagement. To foster constructive relationships. To provide the main competitive advantage for driving profit, revenue, and growth.	Monthly	We ensure compliance with the regulatory requirement.
4	Regulators, Government and Policy Makers.	To ensure honest dealing in all operations regulatory compliance is prioritized in line with the needs of the company.	Annually	We ensure compliance with the regulatory requirements of Corporate affairs Commission, and all other relevant regulators.
5	Suppliers	To maintain the integrity of our supply chain and to make sure that our expectations and standards are in line, we interact with our suppliers and business partners.	Annually	Service level agreements ensure clear communications and dictate obligations between the company and its vendors.

SUSTAINABILITY REPORT - (Cont'd)

Strategy

The Ronchess Global Resources Plc. strategy for managing sustainability related risks and opportunities (SRROs) that could reasonably be expected to effect the company prospects is grounded in our understanding for our business model and value chain. Some of the SRROs that we have identified relate to ESG issues such as climate change, diversity and equal opportunity, occupational health and safety and human rights among others.

Current and anticipated effects of the prioritized SRROs on our business model and value chain are further discussed in the following sections, while our stand-alone sustainability report will present a robust assessment of current and anticipated financial impact as well as the resilience of our strategy and business model to these SRROs.

Employee Engagement.

We are conscious of the impact of employee engagement on motivation and productivity, and we designed several employee engagements programs to create richer employee experiences. These programs engendered employee engagement and satisfaction within the organization, by providing a positive work environment that supports expression, personal well-being, and fun. As part of our commitment towards employee engagement, quarterly appraisal is organised. All these platforms ensure interaction with staff at all levels.

Climate Change

Climate change represents one of the greatest systemic risks for society, the economy and financial institutions. We pledge to make investments consistent with a pathway towards low GHG emissions and climate resilient development.

We endeavor to align our related investment with targets climate action. We are committed to promoting the global transition toward a low-carbon economy, integrating the social dimension into the climate strategy, and disclosing the risks and opportunities associated with climate change.

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF THE RONCHESS GLOBAL RESOURCES PLC

Opinion

We have audited the financial statements of RONCHESS GLOBAL RESOURCES PLC which comprises, the statement of financial position as at 31st December 2025, the statement of profit or loss and other comprehensive income, the statement of changes in equity, the statement of cashflows for the year then ended, and a summary of the significant accounting policies, other explanatory notes, statement of value added and the five year financial summary.

These financial statements are set out on pages **14 to 40** and have been prepared using the significant accounting policies set out on pages **18 to 29**.

In our opinion, the financial statements give a true and fair view of the financial position of the Company as at 31st December, 2025 and of its financial performance and its cash flows for the year ended on that date, and comply with the applicable International Financial Reporting Standards in the manner required by the Financial Reporting Council of Nigeria Amendment Acts, 2023 and the Companies and Allied Matters Act 2020.

The basis of our opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are Independent of the Company in accordance with the requirements of the International Ethics Standards Board for Accountants (IESBA) International Code of Ethics for Professional Accountants (Including International Independence Standards) (IESBA Code) and other independence requirements applicable to performing audits of financial statements in Nigeria. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code and other ethical requirements that are relevant to our audit of the Financial Statements in Nigeria.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matter

Key audit matter is the matter that, in our professional judgement, was of most significance in our audit of the company's financial statements of the current period. This matter was addressed in the context of our audit of the company's financial statement as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on this matter.

KEY AUDIT MATTER	How the matter was addressed in the Audit
The company is striving to improve its cash flow position to support its financial obligations within the year under review.	
Impairment of investment in subsidiaries.	
The carrying amount of the Company's investment in one of its other related companies is significant. Some of these subsidiaries are currently loss-making, and a number of them are dependent on financial support, mostly in the form of loans and advances from the parent company, for their ongoing operations. The significance of the amounts involved and the uncertainties inherent in estimating the recoverable amounts make this a significant matter in our audit.	• Held discussions with the Company to understand their plans for the other related companies. • Assessed the reasonability of the Company's forecasts by comparing them with historical performance. • Considered the adequacy of the disclosures in the separate financial statements and compared the disclosures with the requirements of the relevant accounting standards.

Other information, other than the financial statements and the auditors' report

The Directors' report, and any other information contained therein, are the responsibility of the directors.

Our opinion does not cover these reports, and accordingly, we do not express any form of assurance and/or conclusion thereon. It is our responsibility to read the other information and, in doing so, consider whether the information is materially inconsistent with the financial statements or with the knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on our work we conclude that there is material misstatement of the other information, we are required to report that fact. We have nothing to report in this regard.

Directors' responsibilities and management for the financial statements

The Management and those charged with governance are responsible for the preparation and fair presentation of these financial statements in accordance with the International Financial Reporting Standards in the manner required by the Financial Reporting Council of Nigeria (Amendment) Act, 2023 and the Companies and Allied Matters Act 2020.

This responsibility includes designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error, selecting and applying appropriate accounting policies and making accounting estimates that are reasonable in the circumstances.

In preparing the financial statements, the management and directors are responsible for assessing the company's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the concern basis of accounting unless management and the directors either intends to liquidate the company or to cease to operations, or has no realistic alternative but to do so.

Auditors' Responsibility for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but it is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users that are taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing (ISAs), we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, presentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial Statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant

audit findings, including any significant deficiencies in internal control that we identify during our audit. Compliance with the relevant legislation and regulations, in accordance with the requirements of the Companies and Allied Matters Act,

We expressly state that:

- i) We have obtained all the information and explanation that, to the best of our knowledge and belief, were necessary for the purpose of our audit.
- ii) The Company has kept proper books of account, so far as appears from our examination of these books.
- iii) The Company's financial position and its statement of other comprehensive income are in agreement with the books of account and returns.

In accordance with the requirements of the Financial Reporting Council of Nigeria, we performed a limited assurance engagement and reported on management's assessment of the entity's internal control over financial reporting as of 31st December 2025.

The work performed was done in accordance with FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting, and we have issued an Assurance Report with no exceptions in our report dated 25th March 2026. That report is included on Pages 12 to 13 of the financial statements.



HRM Lateef Olawale Awojobi FCA
Engagement Partner
For: LAO Professionals
(Chartered Accountants)
Lagos, NIGERIA.
25th March 2026



ASSURANCE REPORT OF INDEPENDENT AUDITOR

TO THE SHAREHOLDERS OF RONCHESS GLOBAL RESOURCES PLC

Assurance Report on Management's Assessment of Controls over Financial Reporting.

We have performed a limited assurance engagement in respect of the systems of internal control over financial reporting of **Ronchess Global Resources Plc** ("the Company") as of 31st December 2025. In accordance with the FRC Guidance on assurance engagement report on internal Control over Financial Reporting and based on criteria established in the internal Control-Integrated Framework (2013) issued by the committee of Sponsoring Organizations of the Treadway Commission (COSO) ("the ICFR framework") and the SEC Guidance on Management Report on Internal Control Over Financial Reporting. **Ronchess Global Resources Plc** management is responsible for maintaining effective internal control over financial reporting and assessing the effectiveness of Internal control over financial reporting including the accompanying Management's Report on Internal Control Over Financial Reporting. We have also audited, in accordance with the International Standards on Auditing, the financial statements of the Company with expressed unmodified opinion.

Limited Assurance Conclusion

Based on the procedures we have performed and the evidence that we have obtained, nothing has come to our attention that causes us to believe that the Company did not establish and maintain an effective system of internal control over financial reporting, as of the specified date, based on the SEC Guidance on Management Report on Internal Control Over Financial Reporting.

Definition of Internal Control Over financial reporting

Internal control over financial reporting is a process designed by, or under the supervision of the entity's principal executive and principal financial officers, or persons performing similar functions and effected by the entity's board of directors, management, and other personnel to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal control over financial reporting includes those policies and procedures that:

- i) Pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company.

ASSURANCE REPORT OF INDEPENDENT AUDITOR (Cont'd)

- ii) Provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company, and
- iii) Provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations

Our procedures included the examination of historical evidence of the design and implementation of the Company's system of internal control over financial reporting for the year ended 31st December 2025. Because of its inherent limitations, internal control over financial reporting may not prevent or detect all misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk: that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate. Our limited assurance report is subject to these inherent limitations.

Directors' and Management's Responsibilities

The Directors are responsible for ensuring the integrity of the entity's financial controls and reporting.

Management is responsible for establishing and maintaining a system of internal control over financial reporting that provides reasonable assurances regarding the reliability of financial reporting, and the preparation of financial statements for external purposes in accordance with the international Financial Reporting Standards (IFRS) and the ICFR framework.

Section 7(21) of the Financial Reporting Council of Nigeria (Amendment) Act 2023 further requires that management perform an assessment of internal controls, including information system controls. Management is responsible for maintaining evidential matters, including documentation, to provide reasonable support for its assessment of internal control over financial reporting.

ASSURANCE REPORT OF INDEPENDENT AUDITOR (Cont'd)

Our Independence and Quality Control

We have complied with the independence and other ethical requirements of the Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality, and professional behavior.

The firm applies the International Standard on Quality Management, Quality Management for Firms that Perform Audits or Reviews of Financial Statements or Other Assurance or Related Services Engagements which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards, and applicable legal and regulatory requirements.

Auditor's Responsibility and Approach

Our responsibility is to express a limited assurance opinion on the on the company's internal control over financial reporting based on our Assurance engagement.

We performed our work in accordance with the FRC Guidance on Assurance Engagement Report on Internal Control over Financial Reporting and the International Standard on Assurance Engagements (ISAE) 3000, Assurance Engagements other than the Audits or Reviews of Historical Financial Information (ISAE) 3000 revised. That Standard requires that we comply with ethical requirements and plan and perform the limited assurance engagement to obtain limited assurance on whether any matters come to our attention that causes us to believe that the Company did not establish and maintain an effective system of internal control over financial reporting in accordance with the ICFR framework.

That Guidance requires that we plan and perform the Assurance engagement and provide a limited assurance report on the entity's internal control over financial reporting based on our assurance engagement.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. As a result, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have obtained had we performed a reasonable assurance engagement.

RONCHESS GLOBAL RESOURCES PLC
FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2025
ASSURANCE REPORT OF INDEPENDENT AUDITOR (Cont'd)

Accordingly, we do not express a reasonable assurance opinion on whether the Company established and maintained an effective system of internal control over financial reporting.

As prescribed in the Guidance, the procedures we performed included obtaining an understanding of internal control over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. Our engagement also included performing such other procedures as we considered necessary in the circumstances.

We believe the procedures performed provides a basis for our report on the internal control put in place by management over financial reporting.



HRM Lateef Olawale Awojobi FCA
Engagement Partner
For: LAO Professionals
Chartered Accountants
Lagos, NIGERIA.
25th March 2026

RONCHESS GLOBAL RESOURCES PLC
FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2025
STATEMENT OF COMPREHENSIVE INCOME

		2025		2024	
	Notes	₦'000	₦'000	₦'000	₦'000
Revenue	1		3,031,595		6,721,132
Direct Expenses	2		<u>(4,644,265)</u>		<u>(5,406,120)</u>
Gross Profit /(Loss)			(1,612,670)		1,315,011
Other Income	3		26,046		1,373
			(1,586,624)		1,316,384
Personnel Expenses	4.4	746,398		865,700	
Administrative Expenses	4.1&4.2	889,684		1,535,869	
Depreciation & Amortisation Charges	4.3	445,522		588,769	
			(2,081,605)		(2,990,338)
Operating Profit			(3,668,229)		(1,673,954)
Finance Income	5a	-		-	
Finance Cost	5b	(2,300,894)		(630,612)	
Profit /(Loss) Before Taxation			(5,969,123)		(2,304,566)
Income Tax Expenses	6a		(15,158)		(33,613)
Profit /(Loss) for the year after taxation			(5,984,281)		(2,338,179)
Other Comprehensive Income:					
Exchange difference on translating foreign operations net of tax			-		-
Share of associate's other comprehensive income			-		-
Other Comprehensive income for the year, net of tax			-		-
Total Comprehensive income for the year			<u>(5,984,281)</u>		<u>(2,338,179)</u>
Earnings per share for profit attributable to equity holders of the Company:					
Basic & diluted Earnings per share (kobo)			(₦59.25)		(₦23.15)
Dividend per share (kobo)		-			-

The accounting policies and notes on pages 18 to 37 are an integral part of these financial statements.

STATEMENT OF FINANCIAL POSITION

		2025		2024	
	Notes	₦'000	₦'000	₦'000	₦'000
ASSETS:					
NON-CURRENT ASSETS					
Property, Plant and Equipment	9		6,283,276		6,373,969
Investment			795,277		795,277
Deferred tax assets	11		-		-
Total Non-Current Assets			7,078,553		7,167,246
CURRENT ASSETS:					
Inventories	10	21,743		8,036	
Trade Receivables	12	2,319,852		2,589,855	
Other Receivables & Prepayments	13	313,726		294,123	
Withholding Tax	14b	-		-	
Cash & Bank balance	14a	42,089		663,505	
Total Current Assets			2,697,409		3,555,520
TOTAL ASSETS			<u>9,775,962</u>		<u>10,722,766</u>
LIABILITIES:					
Non-Current Liabilities:					
Directors Loan Account	15a	-		-	
Deferred Tax Liabilities	11	-		-	
Total Non-Current Liabilities			-		-
CURRENT LIABILITIES					
Trade and Other Payables	16	548,934		94,464	
Short Term borrowing	15b	7,166,494		5,783,035	
Current Tax Liabilities	6c(i)	15,158		33,613	
Total Current Liabilities			7,730,586		5,911,112
TOTAL LIABILITIES			<u>7,730,586</u>		<u>5,911,112</u>
EQUITY:					
Share Capital	17		101,000		101,000
Revaluation Reserve	18		4,449,363		4,449,363
Retained Earnings	19		(2,504,987)		261,291
Total Equity			2,045,376		4,811,654
TOTAL EQUITY AND LIABILITIES			<u>9,775,962</u>		<u>10,722,766</u>

RONCHESS GLOBAL RESOURCES PLC
FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST DECEMBER 2025



The financial statements, accounting policies and the notes were approved by the board on 31st March 2026 and signed on its behalf by:

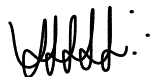
A handwritten signature in black ink, appearing to read 'Adeolu Adeboye', written over a horizontal dotted line.

Adeolu Adeboye

Board Chairman

FRC/2025/PRO/DIR/003/660249

31st March 2026

A handwritten signature in black ink, appearing to read 'Jackson Ukuevo', written over a horizontal dotted line.

Jackson Ukuevo

Chief Executive Officer

FRC/2024/PRO/DIR/003/503251

31st March 2026

A handwritten signature in blue ink, appearing to read 'Oluwakemi Akinloye', written over a horizontal dotted line.

Oluwakemi Akinloye

Chief Financial Officer

FRC/2019/ICAN/0000001993

31st March 2026

STATEMENT OF CHANGES IN EQUITY

	Share Capital	Revaluation Reserve	Total Share Capital	Deposit for Shares	Retained Earnings	Total Equity
	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
Balance as at 1st January 2025	101,000	4,449,363	4,550,363	-	261,291	4,811,654
Comprehensive Income for the year						
Profit / (Loss) for the year	-	-	-	-	(5,984,281)	(5,984,281)
Other Comprehensive Income for the year	-	-	-	-	-	-
Prior year Adjustment	-	-	-	-	3,218,003	3,218,003
Transaction between the business and its owners:						
Dividend Paid	-	-	-	-	-	-
Deposit for Shares	-	-	-	-	-	-
Balance as at 31st December 2025	<u>101,000</u>	<u>4,449,363</u>	<u>4,550,363</u>	-	<u>(2,504,987)</u>	<u>2,045,376</u>
Notes	17	18			19	

The accounting policies and notes on pages 18 to 37 are an integral part of these financial statements.

STATEMENT OF CASH FLOWS

	2025	2024
	₦'000	₦'000
CASH FLOW FROM OPERATING ACTIVITIES	(1,162,808)	(1,634,877)
Taxation Paid	-	-
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of Property, Plant & Equipment	(356,829)	(1,204,303)
Proceeds from sale of Property, Plant & Equipment	-	-
Finance Income	-	-
	(1,519,637)	(2,839,180)
FINANCING ACTIVITIES		
Share Capital	-	10,000
Withholding tax Utilization	-	-
Short term loan	1,383,459	4,654,124
Deposits for Shares	-	-
Finance Cost	-	(630,612)
NET DECREASE IN LIQUID FUNDS	(136,177)	1,194,332
OPENING BALANCE CASH AND BANK	178,268	(1,016,064)
CLOSING BALANCE CASH AND BANK	<u>42,089</u>	<u>178,268</u>
REPRESENTED BY:		
Bank and Cash balances	42,089	1,976
Bank Overdraft	-	(485,238)
Bank Balance with Ronchess Group and other Subsidiaries	-	(661,530)
Other Adjusting Intercompany	-	-
	<u>42,089</u>	<u>178,268</u>

The accounting policies and notes on pages 18 to 37 are an integral part of these financial statements.

ACCOUNTING POLICIES

1 General Information

1.1 The Company

The Ronchess Global Resources Plc is a company registered in Nigeria as a Private Limited Liability Company. It was incorporated on 4th September, 2008 with RC 771515. In 2021, the company converted from Limited Liability to Public Limited Liability and its shares were quoted on the floor of Nigerian Stock Exchange.

The principal activity of the Company is Real Estate Activities, Property Development, Road Marking and Construction.

The registered address of the company is situated at 179A, Moshood Olugbani Street, Victoria Island, Lagos.

2 Basis of preparation

2.1 Statement of compliance

The financial statements have been prepared in accordance with the International Financial Reporting Standard (IFRS) as issued by the International Accounting Standards Board (IASB), the requirements of the Companies and Allied Matters Act, CAP C20, LFN 2004 and in compliance with the Financial Reporting Council of Nigeria Act, No 6, 2011.

2.2 Basis of Measurement

The financial statements have been prepared under the historical cost concept, except for certain financial instruments that are measured at fair value at the end of each reporting period as explained in the accounting policies.

2.3 Functional and presentation currency

The Company's functional and presentation currency is Nigerian Naira. The financial statements are presented in Nigerian Naira and have been rounded to the nearest whole number except where otherwise stated.

2.4 Use of estimates and judgements

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates and judgements.

ACCOUNTING POLICIES (Cont'd)

It also requires management to exercise its judgement in the process of applying the company accounting policies. The areas involving a higher degree of judgement, or areas where assumptions and estimates are significant to the financial statements are disclosed .

2.5 Current versus non-current classification

The Ronchess Global Resources Plc presents assets and liabilities in the statement of financial position based on current and /or non-current classification. An asset is current when it is :

- Expected to be realised or intended to be sold or consumed in the normal operating cycle.
- Held primarily for the purpose of trading.
- Is due to be settled within 12 months after the reporting period or Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

Non-current assets are due to be settled more than 12 months after the reporting period.

A liability is current when it is:

- It is expected to be settled in the normal operating cycle.
- It is held primarily for the purpose of trading.
- It is due to be settled within twelve months after the reporting period or There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period. The company classifies all other liabilities as non-current.

2.6 Going Concern

The financial statements have been prepared in accordance with the going concern principle under the historical cost convention except otherwise stated.

ACCOUNTING POLICIES (Cont'd)

Critical accounting estimates and judgements

Critical accounting policies and key sources of estimation uncertainty.

The preparation of financial statements requires directors to use judgement in applying its accounting policies and estimates and assumptions about the future. Estimates and other judgements are continuously evaluated and are based on directors experience and other factors, including expectations about future events that are believed to be reasonable under the circumstances.

Significant accounting judgements and estimates made in the preparation of the financial statements is shown below.

Plant and Machinery

Plant and machinery are depreciated over its useful life. The Ronchess Global Resources Plc estimates the useful lives of plant and machinery based on the period over which the assets are expected to be available for use. The estimation of the useful lives of plant and machinery are based on technical evaluations carried out by those staff with knowledge of machines and experience with similar assets. Estimates could change if expectations differ due to physical wear and tear and technical or commercial.

It is possible, however, that future results of operations could be materially affected by changes in the estimates brought about by changes in factors mentioned above. The amounts and timing of expenses for any period would be affected by changes in these factors and circumstances. A reduction in the estimated useful lives of the plant and machinery would increase expenses and decrease the value of non-current assets.

Impairment of non-financial assets

The Company reviews other non-financial assets for possible impairment if there are events or changes in circumstances that indicate that the carrying values of the assets may not be recoverable, or at least at every reporting date, when there is any indication that the asset might be impaired. The Company is of the opinion that there is no impairment indicator on its non- financial assets as at the reporting date.

ACCOUNTING POLICIES (Cont'd)

Income taxes

Taxes are paid by the Company under several different regulations and laws, which are subject to varying interpretations. In this environment, it is possible for the tax authorities to review transactions and activities that have been reviewed in the past and scrutinize these in greater detail, with additional taxes being assessed based on new interpretations of the applicable tax law and regulations. Accordingly, management's interpretation of the application tax law and regulations as applied to the transactions and activities of the Company may be challenged by the relevant taxation authorities. The Company's management believes that its interpretation of the relevant tax law and regulations is appropriate and that the tax position included in these financial statements will be sustained.

Impairment of financial assets

The Company assesses at each reporting date whether there is any objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired if, there is objective evidence of impairment as a result of one or more events that has occurred after the initial recognition of the asset (an incurred 'loss event') and that loss event has an impact on the estimated future cash flows of the financial asset or the group of financial assets that can be reliably estimated. Evidence of impairment may include indications that the debtors or a group of debtors is experiencing significant financial difficulty, or other financial reorganisation, and where observable data indicate that there is measurable decrease in the estimated future cash flows, such as changes in economic conditions that correlate with defaults.

For the loans and receivables category, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The carrying amount of the asset is reduced and the amount of loss is recognised in the statement of comprehensive income. If a loan or receivable has a variable interest rate, the discount rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract.

Also, the Company may measure impairment on the basis of an instrument's fair value, using an observable market price.

ACCOUNTING POLICIES (Cont'd)

If in a subsequent period, the amount of impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in debtor's rating), a reversal of the previously recognised impairment loss is recognised in the statement of comprehensive income.

4 Summary of significant accounting policies

The accounting policies set out below have been applied consistently to all years presented in these financial statements.

a) Property, plant and equipment

i) Recognition and measurement

Property, plant and equipment are measured at cost price less accumulated depreciation calculated from the date of commissioning and any accumulated impairment losses. The cost price is based on the purchase price and expenditure that are directly attributable to the acquisition of the asset. Item of property, plant and equipment under construction are disclosed as capital work in progress. The cost of construction recognised includes the cost of materials and direct labour, any other costs directly attributable to bringing the assets to a working condition for their intended use, the costs of dismantling and removing the items and restoring the site on which they are located and borrowing costs on qualifying assets.

ii) Subsequent costs

Modifications and capacity enhancing investments on any assets are capitalised as cost and amortised over the remaining life of the asset. Also, the cost of replacing a part of an item of property, plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the company and its cost can be measured reliably. The carrying amount of the replaced part is derecognised.

The costs of the day-to-day servicing and maintenance of an item of property, plant and equipment are recognised as an expense in the statement of profit or loss and other comprehensive income during the period in which they are incurred.

ACCOUNTING POLICIES (Cont'd)

iii) Depreciation

Depreciation is calculated on items of property, plant and equipment to write down the cost of each asset to its estimated useful life on straight line basis. No depreciation is charged on items of property, plant and equipment until they are in the manner that management intent. Where property, plant and equipment consist of components with different useful lives they are accounted for as separate items.

The principal annual rates used to write down the cost of the assets are as follows:

Type of asset	%
Motor vehicles	20
Computer equipment	20
Office equipment	20
Furniture and fittings	20
Plant & Machinery	14.29

The assets depreciable methods, useful lives and residual values are reviewed annually and adjusted if necessary.

The asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

iv) De-recognition

An item of property, plant and equipment is de-recognised upon disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the profit or loss component of the statement of profit or loss and other comprehensive income within other or operating expenses in the year that the asset is derecognised.

b) Investment Property

Investment property is recognised as an asset when it is probable that the future economic benefits associated with the investment property will flow to the company and the cost of the investment property can be measured reliably.

Investment property is initially recognised at cost.

ACCOUNTING POLICIES (Cont'd)

Transaction costs are included in the initial measurement

Costs include costs incurred initially and cost incurred subsequently to add to, or to replace a part of, or service a property.

Subsequent costs are included in the carrying amount of the investment property or recognised as a separate asset as appropriate only when it is probable that future economic benefits associated with the item will flow to the company and the cost of the item can be measured reliably.

Investment property is carried at cost, less depreciation and any impairment losses.

c) Intangible assets

The company's intangible assets are classified as follows:

- a) Goodwill (b) Software License (c) Trademarks and Licence
- d) Research and development costs

Goodwill is stated at cost.

Software acquired by the company is stated at cost less accumulated and accumulated impairment losses. Subsequent expenditure on software assets is capitalised only when it increase the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expenses as incurred.

Amortisation is recognised in the income statement on a straight-line basis over the estimated useful life of the software, from the date that it is available for use. The estimated useful life of the software is 3 years. This is reassessed annually.

All research and development costs are recognised as an expense unless they form part of the cost of another asset that meets the recognition criteria.

d) Impairment of non-financial assets

Non-financial assets other than inventories and deferred tax assets are reviewed at each reporting date for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount.

ACCOUNTING POLICIES (Cont'd)

The recoverable amount is the higher of an asset's fair value less cost to sell and in use. For the purposes of assessing impairment assets are grouped at the lowest levels for which they have separately identifiable cash flows (cash generating units).

If the recoverable amount of an asset is estimated to be less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. An impairment loss is recognised immediately in the statement of profit or loss and other comprehensive income, unless the relevant asset carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount but so that the increased carrying amount does not exceed the carrying amount that would determine had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised immediately in the statement of profit or loss and other comprehensive income, unless the relevant asset is carried at a revalued amount in which case the reversal of the impairment is treated as a revaluation increase.

e) Financial Instruments

1) Financial assets

Financial assets are initially recognised at fair value plus directly attributable transaction costs. Subsequent re-measurement of financial assets is determined by their designation that is revisited at each reporting date.

The classification of financial assets depends on the purpose for which the financial assets were acquired. Management determines the classification of its financial assets at initial recognition. The company's financial assets comprise of held-to-maturity financial assets cash and cash equivalent and other receivables. At each reporting date, the company assesses whether its financial assets have been impaired. Impairment losses are recognised in the statement of profit or loss and other comprehensive income where there is objective evidence of impairment.

ACCOUNTING POLICIES (Cont'd)

i) Financial assets at fair value through profit or loss

This category has two components: those held for trading, and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for those purpose of generating a profit short-term fluctuation in price or dealer's margin, or a security is included in a portfolio in which a pattern of short-term profit taking existing or if so designated by management at inception as held are fair value through profit or loss.

Financial assets designated at fair value through profit or loss at inception are those that are:

- held to match liabilities that are linked to changes in fair value of these assets. The designation of these assets at fair value through profit or loss eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise from measuring assets or liabilities or recognizing gains and losses on them on different bases; or
- managed and whose performance is evaluated on a fair basis.

ii) Held-to-maturity financial assets

Held-to-maturity financial assets are non-derivative assets with fixed or determinable payment and fixed maturity that the company has to positive intent and ability to hold a maturity, and which are not designates at fair value through profit or loss or available for sale.

Held to maturity investment are carried at amortised cost using the effective interest method. A sale or reclassification of all held to maturity investments would result in the reclassification of all held to maturity investments as available for sale and prevent the company from classifying investment securities as held to maturity for the current and the following two financial years. However, sales and reclassifications in any of the following circumstances would not trigger a reclassification:

- sales or reclassification that are so close to maturity that changes in the market rate of interest would not have a significant effect on the financial asset's fair value.
- sales or reclassification after the company has collected substantially all the asset's original principal.
- sales or reclassification attributable to non-recurring isolated events beyond the company control that could not have been reasonably anticipated.

ACCOUNTING POLICIES (Cont'd)

iii) Available for sale financial assets

Non derivative financial assets classified as available for sale comprise principally the company strategic investment in entities not qualifying as subsidiaries, associates or jointly controlled entities. They are carried at fair value with changes in fair value, other than those arising due to exchange rate fluctuations and interest calculated using the effective interest rate, recognised in other comprehensive income and accumulated in the available for sale reserve.

Exchange differences on investments denominated in a foreign currency and interest calculated using the effective rate method is recognised in profit or loss. Where there is a significant or prolonged decline in the fair value of an available for sale financial asset (which constitutes objective evidence of impairment), the full amount of the impairment including any amount previously recognised in other comprehensive income, is recognised in profit or loss.

Purchases and sales of available for sale financial assets are recognised on settlement date with any changes in fair value between trade date and settlement date being recognised in the available for sale reserve. On sale the cumulative gain or loss recognised in other comprehensive income is reclassified from the available for sale reserve to profit or loss.

iv) Inventories

Inventories are recorded at the lower of cost and net realisable value. Net realisable value is the estimated selling price in the ordinary course of business, less any applicable selling expenses.

v) Trade receivables

Trade receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method less provision for impairment. A provision for impairment for trade receivables is established when there is objective evidence that the company will not be able to collect all the amounts due according to the original terms of the receivables. Significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments are considered indicators that the trade receivable is impaired.

The amount of the provision is the difference between the assets' carrying amount and the recoverable amount.

ACCOUNTING POLICIES (Cont'd)

The recoverable amount, if the receivable is more than one year is equal to the present value of expected cash flows, discounted at the market rate of interest applicable to similar borrowers. The amount of the provision is recognised as an expense in the statement of comprehensive income.

Subsequent recoveries of amounts previously written off are credited against administrative expenses in the statement of comprehensive income.

vi) Loans and Receivables

Loans and Receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in active market. They are included in current assets, except for maturities greater than 12 months after the reporting date, which are classified as non-current assets. Loans and receivables comprise trade and other receivables and cash and bank balance in the statements of financial position.

Recognition and measurement

Loans and receivables are initially recognised at fair value and subsequently they are carried at amortised cost using the effective interest method.

Impairment of financial assets

The company assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. A financial asset or a group of financial asset is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result an event that occurred after the initial recognition of the asset and that loss event has an impact in the estimated future cash flows of the financial assets or group of financial asset that can be reliably estimated.

Evidence of impairment may include indication that the debtor is experiencing financial difficulty, default in interest or principal payments, or the probability that they will enter bankruptcy and where there is an indication of a decrease in the estimated future cash flows.

For loans and receivables, the amount of the loss is measured as the difference between the carrying amount and the present value of the estimated future cash flows. The carrying amount is reduced and the loss is recognised in the statement of comprehensive income.

ACCOUNTING POLICIES (Cont'd)

If, in a subsequent period, the amount of the impairment loss decreases, and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in the debtor's credit rating) the reversal of the previously recognised impairment loss is recognised in the statement of comprehensive income.

vii) Other receivables

Other receivables are other loans and advances that are neither loans and advances and cash and cash equivalents.

They comprise of interest receivable and other receivables. They are initially recognised at fair value when there is evidence that the contractual cash flow in the asset will flow to the company. They are subsequently measured at amortised cost using the effective interest method.

viii) Cash, cash equivalents and bank overdrafts

Cash and cash equivalents include cash on hand and deposits held at call with banks. Bank overdrafts are included within borrowings in current liabilities on the statement of financial position.

ix) De-recognition of financial assets

The company de-recognises a financial asset only when the contractual rights to the cash flows from the asset expires, or when it transfers substantially all the risk and rewards of ownership of the asset to another entity. On de-recognition of a financial assets in its entirety, the difference between the assets carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss that had been recognised in other comprehensive income and accumulated in equity is recognised in the statement of profit or loss and other comprehensive income.

2) Financial liabilities

Financial liabilities at amortised cost include trade and other payables, bank overdraft and long-term loans.

Recognition and measurement

Trade payables are initially recognised at the amount required to be paid, less, when material, a discount to reduce the payables to fair value. Subsequently, trade payables are measured at amortized cost using the effective interest method.

ACCOUNTING POLICIES (Cont'd)

Bank debt and long-term debt are recognised initially at fair value, net of any transaction costs incurred, and subsequently at amortised cost using the effective interest method. These are classified as current liabilities if payment is due within 12 months. Otherwise, they are presented as non-current liabilities.

i) Trade and other payables

Trade and other payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is within one year or less. Otherwise, they are classified as non-current liabilities.

Trade and other payable are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

ii) De-recognition of financial liabilities

The company de-recognised financial liabilities when, and only when, company obligations are discharged, cancelled or they expire. The difference between the carrying amount of the financial liability derecognise and the consideration paid and payable is recognised in statement of profit or loss and other comprehensive income.

iii) a) Borrowings

Borrowings are recognised initially at fair value, as the proceeds received, net of any transaction cost incurred.

Borrowings are subsequently recorded at amortised cost. Finance charges, including premiums payable on settlement or redemption and direct issue costs, are accounted in statement of comprehensive income using the effective interest method and are added to the carrying amount of the instrument to the extent they are not settled in the period in which they arise.

b) Borrowing cost

General and specific borrowing costs directly attributed to the acquisition, construction, or production of qualifying assets, which are assets that necessarily take a substantial period of time to get ready for their intended use or sale, added to the cost of those assets, until such a time as the assets are substantially ready for their intended use or sale.

ACCOUNTING POLICIES (Cont'd)

All other borrowing costs are recognised in statement of comprehensive income in the period in which they are incurred.

3) Categories of financial Instruments

The company's financial instruments are categorized as follows:

		2025	2024
Financial assets	Notes	₦'000	₦'000
Trade receivables	12	2,319,852	2,589,855
Director Current a/c	13	-	-
Receivable from Shareholders	13	-	-
Other Receivable	13	278,034	269,790
Cash and cash equivalents	14	42,089	663,505
		<u>2,639,975</u>	<u>3,523,151</u>
Financial liabilities			
Trade payables	16	215,229	68,178
Other payables	16	-	-
Director Current a/c	16	625	8,200
		<u>215,854</u>	<u>76,378</u>

f) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise and settle the liability simultaneously.

g) Provisions

A provisions is recognised only if, as a result of a past event, the company has a present legal or constructive obligation that can be estimated reliably, and it is probable that an outflow of economic benefits will be required to settle the obligation. The provision is measured at the best estimate of the expenditure required to settle the obligation at the reporting date. Provisions are not recognised for future operating losses. Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be insignificant. Provision are measured at the present value of the expenditures expected to be required to settle the obligations. The unwinding of the discount us recognised as finance cost.

ACCOUNTING POLICIES (Cont'd)

h) Employee benefit

i) Short term employee benefits

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related services are provided. The company recognises wages, salaries, bonuses and other allowances for current employees in the statement of profit or loss and other comprehensive income as the employees render such services.

A liability is recognised for the amount expected to be paid under short-term benefits if the company has a present legal or constructive obligation to pay the amount as a result of past service provided by the employee and the obligation can be estimated reliably.

ii) Defined contribution scheme

The company operates a defined contribution plan as stipulated in the Pension Reform Act, 2014. Under the defined contributory scheme the company contributes 10% while the employees contribute 8% of their annual basic, housing and transport allowances to the scheme. Once the contributions have been paid, the company retains no legal and constructive obligations to pay further contributions if the fund does not hold sufficient assets to finance benefits accruing under the retirement benefit plan. The company's obligations are recognised in the statement of profit or loss and other comprehensive income as operating expenses (employee benefits) when they are due.

Prepaid contributions are recognised as an asset to the extent that a cash refund or reduction in the future payments is available.

Pension Fund Administrators manage pension funds in accordance with National Pension Commission (PENCOM) regulations.

i) Taxation

i) Current income tax

The tax for the period comprises current, education and deferred tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case the tax is recognised in other comprehensive income or directly in equity, respectively.

The tax currently payable is based on taxable profit for the year. The taxable profit differs from net profit as reported in profit or loss because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items

ACCOUNTING POLICIES (Cont'd)

that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted at the reporting date.

ii) Current and deferred income tax

Deferred tax is the tax expected to be payable or recoverable on difference between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit and is accounted for using the balance sheet liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled, or the asset is realised.

Deferred tax is charged or credited to profit or loss, except when it relates to items charged or credited to equity, in which case the deferred tax is also dealt with in equity.

Deferred tax assets and liabilities are presented as non-current in the statement of financial position.

j) Share capital and share premium

Shares are classified as equity when there is no obligations to transfer cash or other assets. Any amounts received over and above the par value of the shares issued are classified as 'share premium' in equity. Incremental costs directly attributable to the issue of equity instruments are shown in equity as a deduction from the proceeds, net of tax.

ACCOUNTING POLICIES (Cont'd)

k) Dividends on Ordinary Share

Dividends on ordinary shares are recognised as a liability and deducted when they are approved by the company's shareholders. Interim dividends are deducted from equity when they are declared and no longer at the discretion of the shareholders. Dividends for the year that are approved after the statements of financial positions date are disclosed as an event after the statement of financial position date.

l) Related party transactions

Related parties include the related companies, the directors and any employee who is able to exert significant influence on the operating policies of the company. Key management personnel are also considered related parties.

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity.

The company considers two parties to be related if, directly or indirectly one party has the ability to control the other party or exercise significant influence over the other party in making financial or operating decisions.

Where there is a related party transactions with the company, the transactions are disclosed as to the type of relationship that exists with the company and the outstanding balances necessary to understand their effects on the financial position and the mode of settlement.

m) Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable, and represent amounts receivable from products supplied or sold, net of discount, returns and excluding value added tax (VAT) and when the significant risk and rewards of ownership have been transferred and title passed to the customer.

Sales of services

Sales arises from both domestic and foreign sales to third parties. Revenue from sale of services is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer. Delivery occurs when a customer's has been delivered with the goods specified in the invoice.

ACCOUNTING POLICIES (Cont'd)

Interest Income

Interest income is recognised in the Company's financial statements using the effective interest rate method.

Other Income

Other income refers to all other income apart from the sales of the company's products which the company receives.

n) Translation of foreign currencies

Transactions in foreign currencies are recorded at the official rates of exchange on the transaction date. At the end of each reporting period, monetary items denominated in foreign currency are retranslated at the official rates prevailing at that day while non-monetary items that are measured in terms of historical cost in a foreign currency are not retranslated.

Assets and liabilities denominated in foreign currency are translated at the applicable official rates of exchange on the reporting date. Exchange gains and losses are included in the profit or loss of the period in which they arise.

Exchange difference on monetary items are recognised in profit or loss in the period in which they occur.

o) Earnings per share

The company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year, adjusted for own shares held (if any).

Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, adjusted for own shares held (if any), for the effects of all dilutive potential ordinary shares.

p) Contingencies

A contingent liability is a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly the control of the company, or a present

ACCOUNTING POLICIES (Cont'd)

obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are only disclosed by way of note and not recognizes as liabilities in the statement of financial position.

5 Financial risk management

5.1 Financial risk factors

The Company's business activities expose it to a variety of financial risk: credit risk and liquidity risk. The objective of the Company's risk management programme is to minimise potential adverse impacts on the Company's financial performance.

The Company's financial instruments consist of trade and other receivables and trade and other payables, bank overdraft, cash and cash equivalents and loans.

a) Credit risk

Credit risk is the risk that a counterpart will default on its contractual obligations resulting in financial loss to the Company. The Company is exposed to credit risk from cash and cash equivalents as well as credit exposures to customers, including outstanding receivables and committed transactions.

The Company uses policies to ensure that sales of products are to customers with appropriate credit history.

The granting of credit is controlled by credit limits and the application of certain terms of sales.

Ronchess Global Resources Plc carries out its business mostly on conducts its business primarily on a credit basis whereby payments are made on the percentage of job completed due to the nature of its business, construction. Individual customers make cash deposit before delivery of goods, while some are expected to make payments within a month after goods are delivered. At the year end, Ronchess Global Resources Plc assessed some debtors balances to be possibly impaired due to non-performance and has made adequate allowances in the financial statements.

ACCOUNTING POLICIES (Cont'd)

As of 31st December 2025, no credit limits were exceeded during the reporting period and management does not expect any losses from non-performance by these customers.

The payment terms are not structured for all related party transactions and the amounts receivable from these related parties are deemed to be fully recoverable and not impaired, except where the related party is facing bankruptcy. As a result, impairment losses were not recognised with respect to amounts due from related parties during the period covered by the first IFRS financial statements (31st December 2024: Nil).

The maximum exposure to credit risk for trade receivables approximates the amount recognised on the statement of financial position. The Company does not hold any collateral as security.

The table below analyses the company's financial assets into relevant maturity grouping as at the reporting date.

	31st December 2025					
Financial Assets:		Neither past due nor impaired	Up to 365 days	Above 365 days	Impairment Allowance	Total
	Notes	₦'000	₦'000	₦'000	₦'000	₦'000
Trade receivables	12	-	-	2,441,950	(122,098)	2,319,852
Other receivables	13	278,034	-	-	-	278,034
Receivables from related parties	13	-	-	-	-	-
		<u>278,034</u>	-	<u>2,441,950</u>	<u>(122,098)</u>	<u>2,597,887</u>

ACCOUNTING POLICIES (Cont'd)

	31st December 2024					
Financial Assets:		Neither past due nor impaired	Up to 365 days	Above 365 days	Impairment Allowance	Total
	Notes	₦'000	₦'000	₦'000	₦'000	₦'000
Trade receivables	12	2,711,953	-	-	(122,098)	2,589,855
Other receivables	13	294,123	-	-	-	294,123
Receivables from related parties	13	-	-	-	-	-
		3,006,076	-	-	(122,098)	2,883,978

Financial assets exclude prepayments as these are not financial instruments.

Financial assets classified as neither past due nor impaired are those that fall within the 3 months credit limit of the Company.

b) Liquidity risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligation as they are due.

Liquidity risk is managed by always maintaining sufficient cash reserves to operational needs so that the Company does not breach borrowing limit on any of its borrowing facilities. The Company manages liquidity risk by effective working capital and cash flow management.

Maturity analysis:

The table below analyses the Company's financial liabilities into relevant maturity based on the remaining period at the reporting date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flow.

ACCOUNTING POLICIES (Cont'd)

	31st December 2025					
Financial Liabilities:		Less Than one year	Between 1 and 2 Years	Between 2 and 3 Years	Between 3 and 5 Years	Total
	Notes	N'000	N'000	N'000	N'000	N'000
Trade payables	16	215,229	-	-	-	215,229
Other payables	16	333,705	-	-	-	333,705
Director Current a/c	16	-	-	-	-	-
		548,934	-	-	-	548,934

	31st December 2024					
Financial Liabilities:		Less Than one year	Between 1 and 2 Years	Between 2 and 3 Years	Between 3 and 5 Years	Total
	Notes	N'000	N'000	N'000	N'000	N'000
Trade payables	16	68,178	-	-	-	68,178
Other payables	16	26,286	-	-	-	26,286
Director Current a/c	16	-	-	-	-	-
		94,464	-	-	-	94,464

Financial liabilities exclude provisions, WHT payable, and VAT payable (Note 16) as these are not financial instruments.

c) Currency risk

Currency risk is the potential risk of loss arising from fluctuating foreign exchange rates as a result of the Company's exposure to foreign-currency-traded investments.

This risk is being managed through periodic matching of currency flows and currency risk sharing agreement clause in the Company's foreign-currency-traded investment contracts.

c) Interest rate risk

Interest rate risk is the risk that the value and cash flow of a financial instrument will fall or rise due to changes in the interest rates. And as a result, the following financial assets and liabilities which are held at fair value will be directly impacted by changes in interest rates.

ACCOUNTING POLICIES (Cont'd)

5.2 Fair value estimation measurement

i) Financial instruments not measured at fair value

Financial instruments not measured at fair value include trade receivables, other receivables, cash and bank balances, trade and other payables, and balances with related companies. Due to their short term nature, the carrying values of the above financial instruments approximate their fair values.

ii) Financial instruments not measured at fair value

As of 31st December 2025, the company did not have any financial instruments measured at fair value, accordingly, no analysis on fair value hierarchy is presented.

5.3 Capital risk management

The objective in managing capital is to safeguard the company's ability to continue as a going concern in order to maximise returns for shareholders and benefits for other stakeholders as well as maintaining the optimal capital structure to reduce the cost of capital.

In order to maintain or adjust the capital structure, the company may adjust the amount of dividends paid to shareholders, capital returned to shareholders, new shares issued, or debt raised. Consistent with others in the industry, the company monitors capital on a monthly basis using the gearing ratio.

This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including current and non-current borrowings as shown in the statement of financial position) less cash and cash equivalents.

Total capital is calculated as the sum of all equity components on the statement of financial position.

The Company's return on capital as at the end of the reporting period was as follows:

	2025	2024
	<u>₦'000</u>	<u>₦'000</u>
Returns from operating activities	(5,984,281)	(2,338,179)
Total shareholders' equity	2,045,376	4,811,654
Return on capital	-293%	-49%

ACCOUNTING POLICIES (Cont'd)

Furthermore, the company's adjusted net debt to equity ratio as at the end of the reporting period was as follows:

	2025	2024
	<u>₦'000</u>	<u>₦'000</u>
Total Liabilities	7,730,586	5,911,112
Less Cash and cash equivalent	(42,089)	(663,505)
Adjusted net debts	7,688,497	5,247,606
Total Equity	2,045,376	4,811,654
Adjusted net debts to equity ratio	4	1

NOTES ON THE FINANCIAL STATEMENTS

			2025	2024
Note		Notes	₦'000	₦'000
1	Revenue			
	Road Construction Contracts		3,031,595	6,721,132
	Road Marking		-	-
			<u>3,031,595</u>	<u>6,721,132</u>
2	Direct Expenses			
	Cost of Materials		3,872,589	3,883,234
	Diesel		295,386	756,209
	Freight & Logistics		13,850	67,823
	Hiring Costs		165,657	340,794
	Direct Site Expenses		136,642	358,060
	Sub-Contract Costs		110,730	-
	Other Direct Cost		49,412	-
			<u>4,644,265</u>	<u>5,406,120</u>
3	Other Income			
	Sundry Income		26,046	1,373
	Other Operating Income		-	-
			<u>26,046</u>	<u>1,373</u>
4	Expenses by nature			
4.1	Administrative expenses:			
	Employee benefit expenses	4.4	746,398	865,700
	Electricity & Water		16,461	7,186
	Building Repairs and Maintenance		-	11,001
	Office Expenses		2,831	6,627
	Postage & Courier Expenses		1,418	5,930
	Printing and Stationeries		9,360	6,453
	Safety Expenses		10,538	6,595
	Security Expenses		25,727	38,275
	Subscription		-	1,035
	Transport Expenses		2,266	2,485
	Other ICT Expenses		7,219	9,537
	Travel & Accommodation Expenses		47,187	109,368
	Fuel		9,543	82,510
	Vehicle Repairs & Maintenance		16,560	22,626
	AGM Expenses		21,647	-

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

			2025	2024
Note		Note	<u>₦'000</u>	<u>₦'000</u>
	Audit Fees		10,000	8,600
	Bank Charges		31,435	17,908
	Directors' Allowance		61,931	199,084
	Generator Repairs & Maintenance		8,418	-
	Immigration Expenses		10,350	35,513
	Insurance		3,043	54,150
	Legal Expenses		65,185	232,829
	Consultancy and Professional Fees		60,928	42,297
	Rent Paid		120,573	86,184
	Repairs and Maintenance		4,665	11,216
	Royalty		951	1,178
	Statutory Fee		47,366	172,131
	Impairment Loss on Trade Receivables		122,098	122,098
			<u>717,700</u>	<u>1,292,818</u>
4.2	Distribution Cost:			
	Commission & Rebates		-	-
	Delivery Expenses		-	-
	Advertising & Marketing Expenses		171,985	243,051
			<u>171,985</u>	<u>243,051</u>
	Depreciation and amortisation expenses			
	Depreciation charges		445,522	588,769
	Amortization charges		-	-
			<u>445,522</u>	<u>588,769</u>
	Expenses by nature summarised as follows:			
	Direct Expenses		4,644,265	5,406,120
	Personnel Expenses		746,398	865,700
	Administrative Expenses		717,700	1,292,818
	Distribution Expenses		171,985	243,051
	Depreciation and Amortisation Charges		445,522	588,769
			<u>6,725,870</u>	<u>8,396,458</u>

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

			2025	2024
Note		Note	<u>₦'000</u>	<u>₦'000</u>
4.4	Employee benefits expenses			
	Salaries and Wages		654,247	763,301
	Allowance		25,703	23,266
	Medical Expenses		3,271	6,404
	PAYE Cost		7,743	9,610
	Staff Training & Development		8,105	1,009
	Staff Welfare		47,330	62,110
			<u>746,398</u>	<u>865,700</u>
5	Finance income and expenses			
a)	Finance income:		-	-
	Interest income - Fixed deposit		-	-
	- Current account		-	-
			-	-
b)	Finance cost:			
	Interest on Bank Loans		1,271,894	419,460
	Interest on Other Borrowings		1,029,000	211,151
			<u>2,300,894</u>	<u>630,612</u>
	Net finance income/(cost)		<u>(2,300,894)</u>	<u>(630,612)</u>
6	Taxation			
a)	Income tax expenses			
	Current:			
	Income tax		-	-
	Education tax		-	-
	Police Trust Fund (PTF)		-	-
	Minimum tax		15,158	33,613
	Prior year under/(over) provision		-	-
			<u>15,158</u>	<u>33,613</u>
	Deferred:			
	Deferred tax (credit)/charge		-	-
	Tax expense		<u>15,158</u>	<u>33,613</u>

The current tax charge has been computed at the applicable rate of 30% (31st December 2025: 30%) plus Education Levy of 3% (31st December 2025: 3%) on the profit for the year after adjusting for certain items of expenditure and income which are not deductible or chargeable for tax purposes.

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

Non- deductible expenses include items such as donation and certain provisions which are not allowed as deduction by the tax authorities.

Tax exempt income include income such as export profits and gain on disposal of assets which are not taxable.

b) Reconciliation of total tax expense

The tax on the Company's profit before tax differs from the theoretical amount that would arise using the basic tax rate of the company as follows:

	2025	2024
	<u>₦'000</u>	<u>₦'000</u>
Accounting profit /(loss)	<u>(5,969,123)</u>	<u>(2,304,566)</u>
PBT at statutory rate of 0% (2025-30%)	-	-
Education Tax- non deductibility of depreciation (2025-3%)	-	-
Effect of minimum tax provision	-	-
Police Trust Fund (PTF)	-	-
Tax effect on Non deductible expenses	-	-
Tax effect on Non chargeable income	-	-
Tax effect on Capital allowances	-	-
Effect of deferred tax charged/(credit)	-	-
Tax provision for the year	-	-
	15,158	33,613
	0.0%	0.0%

Note		Note	2025	2024
			<u>₦'000</u>	<u>₦'000</u>
6	Taxation			
c)	Current Income tax liabilities		-	-
i)	Tax payable		-	-
	The movement in tax payable is as follows:			
	As at 1st January			-
	Provision for the year	6a	15,158	33,613
	Payment during the year		-	-
	Withholding tax credit utilised		-	-
	As at 31st December		15,158	33,613

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

			<u>2025</u>	<u>2024</u>
ii)	Tax paid	Note	<u>₦'000</u>	<u>₦'000</u>
	Balance at beginning of the year		-	-
	Current tax for the year		(15,158)	(33,613)
	Payment for the year		-	-
	Balance at the end of the year		15,158	33,613
	As at 31st December		-	-
7	Profit before Income tax		-	-
	Profit before income tax is stated after charging or (crediting):		-	-
	Depreciation		445,522	588,769
	Auditor's remuneration		-	-
	Directors' remuneration		7,743	9,610
	Personnel expenses		738,655	856,090
	Loss/(Gain) on PPE disposed		-	-
	Net foreign exchange loss		-	-

8 Earning per share

Basic earnings per share (EPS) is calculated by dividing the profit attributable to equity holders of the company by the weighted average number of ordinary shares outstanding at the end of the reporting period.

	<u>2025</u>	<u>2024</u>
	<u>₦'000</u>	<u>₦'000</u>
Profit attributable to shareholders of the company	5,984,281)	(2,338,179)
Weighted average number of ordinary shares in issue	101,000	101,000
Basic Earning per share (Naira)	(59.25)	(23.15)

Diluted EPS is the same as the Basic earning per share as there are no potential securities convertible to ordinary shares.

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

	Plant & Machinery	Motor Vehicles	Computer Equipment	Office Equipment	Generator	Furniture & Fittings	Total
Cost	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000	₦'000
At 1st January 2025	7,695,406	728,521	73,284	885,023	290,172	392,890	10,065,298
Additions	355,179	-	1,650	-	-	-	356,829
Disposals	-	-	-	-	-	-	-
At 31st December 2025	8,050,585	728,521	74,934	885,023	290,172	392,890	10,422,127
Depreciation							
At 1st January 2025	2,051,821	435,177	55,987	632,595	207,966	309,784	3,693,329
Charge for the year	220,639	160,025	3,580	32,890	20,328	8,060	445,522
Disposals	-	-	-	-	-	-	-
At 31st December 2025	2,272,460	595,202	59,567	665,486	228,294	317,844	4,138,851
Net Book Value							
At 31st December 2025	5,778,125	133,320	15,368	219,538	61,879	75,047	6,283,276
At 31st December 2024	5,643,585	293,345	17,298	252,428	82,207	83,107	6,371,969

10 Investment

	<u>2025</u>	<u>2024</u>
	<u>₦'000</u>	<u>₦'000</u>
Investment in subsidiaries	795,277	795,277

Investments in unquoted subsidiaries without supporting documents were assessed for impairment considering the future cashflows.

There are no parameters that can be used to test the impairment due to the fact that the transaction would have better been reported as loan granted to a sister company.

		<u>2025</u>	<u>2024</u>
Note		<u>₦'000</u>	<u>₦'000</u>
11	Inventories		
	Raw Materials	11,709	-
	Maintenance, Repairs and Operations (MRO)	10,033	8,036
	As of 31st December,	21,743	8,036
12	Trade receivables		
	Trade receivables	2,441,950	2,711,953
	Provision for impairment of trade receivables	(122,098)	(122,098)
	As of 31st December,	2,319,852	2,589,855

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

The table below analyses the company's financial assets into relevant maturity grouping as at the reporting date.

Impairment matrix:	31st December 2025				
	Neither past due nor impaired	Up to 365 days	Above 365 days	Impairment Allowance	Total
	<u>N'000</u>	<u>N'000</u>	<u>N'000</u>	<u>N'000</u>	<u>N'000</u>
Trade receivables	-	-	2,441,950	(122,098)	2,319,852
Other receivables	313,726	-	-	-	313,726
Receivables from related parties	-	-	-	-	-
	313,726	-	2,441,950	(122,098)	2,633,578

The company has recognised an allowance for doubtful debts of 100% against all receivables over 365 days because historical experience has been that receivables that are past due beyond 365 days are not recoverable. Allowances for doubtful debts are recognised against trade receivables up to 365 days based on the determined loss rate per age bracket.

The impairment loss is included in administrative expenses. The impairment loss as at 31 December 2025 relates to customers with potential risk of not being able to pay their outstanding balances, mainly due to economic circumstances.

Note		<u>2025</u>	<u>2024</u>
		<u>N'000</u>	<u>N'000</u>
13	Other receivables		
	Rent Prepaid	35,691	11,223
	Sundry Debtors	-	2,000
	Staff Loans	-	1,110
	Withholding Tax Credit Note	278,034	269,790
	Loan Receivables	-	10,000
	As of 31st December,	<u>313,726</u>	<u>294,123</u>

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

Employee advance are cash payments made by the company to its employees for personal expenses. The company expects all staff advances to be paid back within a year.

Note		<u>2025</u>	<u>2024</u>
		<u>₦'000</u>	<u>₦'000</u>
14a	Cash and Cash Equivalents		
	Cash and Bank Balances	30,443	1,976
	Ronchess Group and Other Subsidiaries	11,645	661,530
	Cash and cash equivalent	42,089	663,505

For the purpose of the cash flow statement, cash and cash equivalent comprise of cash in hand, cash at bank, domiciliary account balance and bank overdraft.

	<u>2025</u>	<u>2024</u>
	<u>₦'000</u>	<u>₦'000</u>
Cash and cash equivalent	42,089	663,505
Bank overdraft	-	-
As of 31st December,	42,089	663,505

Financial assets by category

The accounting policies for financial instruments have been applied to the line items below:

	<u>2025</u>	<u>2024</u>
	<u>₦'000</u>	<u>₦'000</u>
Trade and other receivables	-	2,883,978
Cash and bank	42,089	663,505
As of 31st December,	42,089	3,547,483

Notes		<u>2025</u>	<u>2024</u>
		<u>₦'000</u>	<u>₦'000</u>
15	Borrowings:		
15a	Directors loan account		
	Balance as of 1st January	-	-
	Addition during the year	-	-
	Drawings during the year	-	-
	As of 31st December,	-	-

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

15b	Short term loan:		
	Loan from Bank	2,439,018	3,062,908
	Bank Overdraft	-	485,238
	Other Loans	4,727,476	2,234,890
	As of 31st December,	7,166,494	5,783,035
15c	Long term loan:		
	Term loan	-	-

Note		<u>2025</u>	<u>2024</u>
16	Trade and other payables	<u>₦'000</u>	<u>₦'000</u>
	Trade Payables	215,229	68,178
	Other Payables	209,246	-
	Pension Liabilities	9,042	7,292
	PAYE Liabilities	2,323	14
	Salaries payable	112,455	3,990
	Audit Fee Payables	625	8,200
	Legal Fee Payables	-	5,000
	WHT Payables	13	1,791
	As per Financial Position	548,934	94,464

* Other payables are due within twelve (12) months

** Accrued expenses consist of PAYE, Pension, Audit fees, and VAT

Note		<u>2025</u>	<u>2024</u>
	Financial liabilities by category	<u>₦'000</u>	<u>₦'000</u>
	The accounting policies for financial instruments have been applied to the line items below:		-
	Trade payables	215,229	-
	Other payables	-	-
	Other payable-Advance from Customers	-	-
		215,229	-
17	Share capital		
	Authorised:	-	-
	101,000,000 Ordinary shares of ₦1.00 each	101,000	101,000
	Issued and fully paid:		
	Balance as of 1st January	101,000	
	91,000,000 Ordinary shares of ₦1.00 each		91,000
	Issued and fully paid during the year		10,000
	101,000,000 Ordinary shares of ₦1.00 each	101,000	101,000

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

Note			<u>2025</u>	<u>2024</u>
		Note	<u>₦'000</u>	<u>₦'000</u>
18	Revaluation reserve			
	Balance as at 1st January		4,449,363	4,449,363
	Increase/(Decrease) during the year		-	-
	As per financial position		4,449,363	4,449,363
				-
19	Retained earnings			-
	Balance at beginning of year		261,291	2,608,450
	Prior year adjustment		3,218,003	(2,338,178)
	Profit/(loss) for the year		(5,984,281)	(8,981)
	As per financial position		(2,504,987)	261,291
20	Cash generated from operating activities			
	Profit/(Loss) before tax		(5,969,123)	(2,304,566)
	Adjustment for:			
	Depreciation of PPE	9	445,522	588,769
	(Profit)/Loss on sales of assets			
	Interest Income	5a	-	-
	Interest expense	5b	-	630,612
	Prior year adjustment		3,218,003	(8,981)
	Changes in working capital:			
	(Increase)/decrease in Inventory		(13,706)	(8,036)
	(Increase)/decrease in trade receivables		721,630	(203,874)
	(Increase)/decrease in other receivables & prepayment		(19,603)	(11,223)
	Increase/(decrease) in trade & other payables		454,470	(317,578)
	Net cash generated from operations		(1,162,808)	(1,634,877)

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

Note		<u>2025</u>	<u>2024</u>
		<u>₦'000</u>	<u>₦'000</u>
21	Information regarding directors and employees		
a)	The aggregate emoluments of the directors were:		-
	Fees paid to Non-Executive Directors	-	-
	Remuneration paid to Executive Directors	-	-
	Other emoluments	-	-
		-	-
	Amount paid to the Chairman	-	-
	Amount paid to the highest paid director	-	-
	Scale of other director's emolument	Number	Number
	₦500,000 - ₦1,500,000	-	-
	₦1,500,001 - ₦3,000,000	-	-
	Directors with no emoluments	9	-

Directors with no emoluments waived their right to receive remuneration from the company.

Note		<u>2025</u>	<u>2024</u>
		Number	Number
b)	Staff numbers and costs		
	The average number of persons employed (excluding directors), in the company during the year:		-
	Technical Staff	7	7
	Administration	136	136
		143	143

The aggregate payroll cost of these persons was as follows:

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

Note		<u>2025</u>	<u>2024</u>
		<u>₦'000</u>	<u>₦'000</u>
	Wages and salaries	746,398	865,700
	Pension, NSITF & ITF	-	-
		746,398	865,700
The table below shows the number of employees of the company which fell within the bands stated:			
		Number	Number
	Up to ₦500,000	1	-
	₦500,001 - ₦2,400,000	113	-
	₦2,400,001 - ₦6,000,000	20	-
	Above ₦6,000,000	9	-
		143	-

22 Related parties' transactions and balances

a) Parent and ultimate controlling entity Related parties include parent and ultimate controlling company. The directors, their close family members and any employees who can exert significant influence on the operating policies of the Company are considered as related parties.

Key management personnel are also regarded as related parties. Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of the company.

b) Transactions with related parties. There were no related parties' transactions during the year.

23 Contingent liabilities

There were no capital commitments at the balance sheet date.

24 Capital commitments

The Company had no capital commitments as of 31st December,2025 (2024 -Nil)

NOTES ON THE FINANCIAL STATEMENTS - (Cont'd)

25 Compliance with regulatory bodies

There was no penalty for non-compliance matters with respect to regulatory bodies for the year ended 31st December 2025.

26 Events after reporting period

The directors of the company are of the opinion that these events are non-adjusting in line with the requirement of IAS 10 and will not have material effect on the operation of the company. Hence, the financial statement position and results of operations as of and for the year have been prepared as a going concern and the company would continue in operations for a foreseeable future.

There were no other post reporting period events which could have had a material effect on the state of affairs of the company as at 31st December 2025 (December 2024 : Nil).

27 Comparative figures

Certain comparative figures have been reclassified in line with the current year's presentation wherever this has been deemed necessary to ensure compliance with the International Reporting Standards.

OTHER NATIONAL DISCLOSURES

STATEMENT OF VALUE ADDED

		2025	%	2024	%
	Notes	₦'000		₦'000	
Revenue	1	3,031,595		6,721,132	
Other Income	3	26,046		1,373	
Finance income	5a	-		-	
		3,057,641		6,722,504	
Less: Bought-in-goods and services		(5,533,950)		(6,941,989)	
VALUE ADDED		(2,476,309)	100	(219,485)	100
APPLIED AS FOLLOWS:					
To pay Employees' wages, salaries and other benefits;		746,398	(30.1)	865,700	(35.0)
To pay provider of capital:					
Finance expenses		2,300,894	(93)	630,612	(25.5)
Dividend		-		-	
To pay Government:					
Income tax expense		15,158	(0.6)	33,613	(1.4)
To provide for maintenance of Assets:					
Depreciation		445,522	(18.0)	588,769	(23.8)
Deferred tax expense		-	-	-	-
Retained profit/(loss)		(5,984,281)	242	(2,338,179)	94.4
		(2,476,309)	100	(219,485)	100

FIVE YEAR FINANCIAL SUMMARY

	<u>2025</u>	<u>2024</u>	<u>2023</u>	<u>2022</u>	<u>2021</u>
	₦'000	₦'000	₦'000	₦'000	₦'000
Assets employed:					
Non-current assets	7,078,553	7,167,246	6,552,000	6,531,000	4,002,000
Current assets	2,697,409	3,555,520	2,694,000	14,377,000	14,606,000
Non-current liabilities	-	-	(644,000)	(1,309,000)	(871,000)
Current liabilities	(7,730,586)	(5,911,112)	(1,454,000)	(250,000)	(3,551,000)
Net assets	2,045,376	4,811,654	7,148,000	19,349,000	14,186,000
Capital employed:					
Ordinary share capital	101,000	101,000	91,000	91,000	91,000
Revaluation reserve	4,449,363	4,449,363	4,449,000	5,359,000	1,230,000
Retained earnings	(2,504,987)	261,291	2,608,000	13,899,000	12,865,000
Total equity	2,045,376	4,811,654	7,148,000	19,349,000	14,186,000
Revenue	3,031,595	6,721,132	3,623,000	8,836,000	15,082,000
Profit/(loss) before income tax	(5,969,123)	(2,304,566)	(6,505,000)	1,268,000	5,024,000
Income tax expense	(15,158)	(33,613)	-	(234,000)	(164,000)
Profit/(loss) after tax	(5,984,281)	(2,338,179)	(6,505,000)	1,034,000	4,860,000
Other comprehensive income	-	-	-	-	-
Total comprehensive Profit/(Loss)	(5,984,281)	(2,338,179)	(6,505,000)	1,034,000	4,860,000
Per share data					
Earning per share (Naira)	(59.25)	(23.15)	(71.48)	11.36	53.41
Net asset per share (Naira)	20.25	47.64	78.55	212.63	155.89

Earnings per share (EPS) is calculated by dividing the profit attributed to equity holders of the company by the weighted average number of ordinary shares outstanding at the end of the reporting period. Net assets per share is calculated by dividing net assets of the company by the weighted average number of ordinary shares outstanding at the end of the reporting period.

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

		2025		2024	
	Note	₦'000	₦'000	₦'000	₦'000
Revenue	1		3,031,595		6,721,132
Cost of Sales/Direct Expenses	2		(4,644,265)		(5,406,120)
			(1,612,670)		1,315,011
Other Income	3		26,046		1,373
Finance Income	5a		-		-
Gross Profit /(Loss)			(1,586,624)		1,316,384
Less: OVERHEADS:					
Personnel expenses:	4.4	746,398		865,700	
Administrative expenses:	4.1				
Electricity & Water		16,461		7,186	
Building Repairs and Maintenance		-		11,001	
Office Expenses		2,831		6,627	
Postage & Courier Expenses		1,418		5,930	
Printing and Stationeries		9,360		6,453	
Safety Expenses		10,538		6,595	
Security Expenses		25,727		38,275	
Subscription		-		1,035	
Transport Expenses		2,266		2,485	
Other ICT Expenses		7,219		9,537	
Travel & Accommodation Expenses		47,187		109,368	
Fuel		9,543		82,510	
Vehicle Repairs & Maintenance		16,560		22,626	
AGM Expenses		21,647		-	
Audit Fees		10,000		8,600	
Bank Charges		31,435		17,908	
Finance cost		2,300,894		630,612	
Directors' Allowance		61,931		199,084	
Generator Repairs & Maintenance		8,418		-	
Immigration Expenses		10,350		35,513	
Insurance		3,043		54,150	
Legal Expenses		65,185		232,829	
Consultancy and Professional Fees		60,928		42,297	
Rent Paid		120,573		86,184	
Repairs and Maintenance		4,665		11,216	
Royalty		951		1,178	
Statutory Fee		47,366		172,131	
Advertising & Marketing Expenses		171,985		243,051	
Depreciation		445,522		588,769	
Impairment Loss on Trade Receivables		122,098	(4,382,499)	122,098	(3,620,950)
NET PROFIT/(LOSS) FOR THE YEAR			(5,969,123)		(2,304,566)

AUDITOR'S REPORT

ON THE

INTERNAL CONTROL OVER FINANCIAL REPORTING (ICFR)

INFORMATION OF

RONCHESS GLOBAL RESOURCES PLC

IN RESPECT OF

2025 AUDITED FINANCIAL STATEMENT

AUDITOR'S REPORT REFERRING TO THE "INFORMATION RELATED TO THE INTERNAL CONTROL SYSTEM OVER FINANCIAL INFORMATION (ICFR)" OF RONCHESS GLOBAL RESOURCES PLC IN RESPECT OF 2025 AUDITED FINANCIAL STATEMENTS

To the Directors of Ronchess Global Resources PLC.

In line with the request of the Board of Directors of Ronchess Global Resources Plc and as part of our audit engagement, we have carried out specific procedures relating to the disclosures on Internal Control over Financial Reporting (ICFR). These disclosures outline the Company's internal control framework for financial reporting in accordance with relevant Nigerian regulatory requirements, including the Financial Reporting Council of Nigeria (FRCN) Act, the Companies and Allied Matters Act (CAMA) 2020, the Securities and Exchange Commission (SEC) Code of Corporate Governance, the Investment and Securities Act (ISA) 2007, and other applicable financial reporting standards.

The Board of Directors is responsible for establishing, implementing, and maintaining an effective system of internal control over financial reporting. This system is designed to provide reasonable assurance regarding the accuracy and reliability of financial information. However, due to inherent limitations, such systems cannot entirely eliminate the risk of errors or irregularities.

Our assessment of the Company's internal control system was conducted solely to determine the nature, scope, and level of compliance of Swift Link Global Services Limited's financial statements, in accordance with International Standards on Auditing (ISA) and relevant FRCN requirements. Based on our work, we are satisfied that the Company's internal control framework is adequately designed and operating effectively to support compliance with applicable financial reporting standards

2. Scope and Procedures Applied

In preparing this report, we carried out specific procedures in line with guidelines issued by the Financial Reporting Council of Nigeria (FRCN), the Nigerian Stock Exchange (NSE), the SEC Code of Corporate Governance, and the Investment and Securities Act (ISA) 2007. These procedures define both the extent of our work and the basis of this report.

Given the nature of these procedures, our opinion addresses the effectiveness of the design and operation of the Company's ICFR. It should be noted that if additional procedures beyond those prescribed had been performed, other matters might have been identified.

The procedures applied include:

- Reviewing and evaluating the ICFR disclosures prepared by the Company to ensure compliance with minimum disclosure requirements under the FRCN Act and SEC regulations.
- Making inquiries of personnel responsible for the preparation of ICFR disclosures in order to:
 - ◆ Understand the processes involved in preparing the disclosures;
 - ◆ Confirm that the terminology used aligns with applicable Nigerian financial reporting frameworks;
 - ◆ Verify that the stated control procedures exist and are operational within the Company.
- Examining supporting documentation relating to ICFR disclosures, including reports from internal audit, senior management, and other internal or external experts reporting to the Audit Committee.
- Comparing the ICFR disclosures with our understanding of the Company's internal control environment obtained during the audit of the annual financial statements.
- Reviewing minutes of meetings of the Board of Directors, Audit Committee, and other relevant committees to ensure consistency between discussions on internal controls and the disclosures made.
- Obtaining a representation letter from management confirming that the ICFR disclosures fairly reflect the Company's internal control framework.

3. Conclusion

Based on the procedures performed, we did not identify any material inconsistencies or issues that would adversely affect the ICFR disclosures.

This report has been prepared solely in accordance with the provisions of the Companies and Allied Matters Act (CAMA) 2020, the Financial Reporting Council of Nigeria Act, and the SEC Code of Corporate Governance. It is intended for inclusion in the Company's Annual Corporate Governance Report for the purpose of describing its Internal Control over Financial Reporting.



Awojobi Lateef Olawale, FCA
Managing Partner
LAO Professionals



STATEMENT OF DIRECTORS' CERTIFICATION IN PURSUANT TO SECTION 60(2) OF THE INVESTMENT AND SECURITIES ACT NO. 29 OF 2007

We, the undersigned, hereby certify the following concerning the Audited Financial Statements for the period ended 31 December 2025:

1. We have reviewed the statements.
2. To the best of our knowledge, the report does not contain:
 - (a) Any untrue statement of a material fact, or
 - (b) Omit to state a material fact, which would make the statements misleading in the light of the circumstances under which such statement was made.
3. To the best of our knowledge, the financial statements and other financial information included in the report fairly present in all material respects the financial condition and results of operations of the Company as of, and for the periods presented in the reports.
4. We:
 - (a) Are responsible for establishing and maintaining internal controls.
 - (b) Have designed such internal controls to ensure that material information relating to the company is made known to us by others, particularly during the period in which the periodic reports are being prepared.
5. We have disclosed to the Auditors of the Company and the Audit Committee:
 - (a) All significant deficiencies in the design or operation of internal controls which would adversely affect the company's ability to record, process, summarize and report financial data and have identified for the company's Auditors any material weakness in internal controls; and
 - (b) Any fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal controls.

Signed on behalf of

RONCHESS GLOBAL RESOURCES PLC



Ukuevo Jackson

Chief Executive Officer

FRC/2024/PRO/DIR/003/503251



Oluwakemi Akinloye

Chief Financial Officer

FRC/2019/ICAN/0000001993